

Task 1 - Summary

- What are key steps in an inventory management process?
 1. Perform demand forecasting and future planning for every inventory item.
 2. Place an order with the vendor for delivery.
 3. Goods arrive at the business premises (office or warehouse).
 4. Inspect or verify the received goods and store them appropriately for future consumption.
 5. Accept and approve customer orders.
 6. Retrieve the goods from stock for their delivery.
 7. Automatically update the stock level on the inward and outward movement of goods.
 8. Set an appropriate reorder point to meet demand.

Summary, cont.

- What are the risks of having an ineffective inventory management process and the accounting implications?
 1. Imbalanced inventory. If the inventory is not managed well, then it becomes hard to maintain a balanced stock.
 2. Delayed delivery of orders. Fulfilling the orders on time becomes impossible in the absence of proper stock information.
 3. Increased costs. Overstocking is costly for the business.
 4. Unsatisfied customers.
 5. Wasted time for the business.

Summary, cont.

- **What is the difference between a process and a control?**

The process deals with the method in which the inventory is broadly managed (ordering, stocking, etc.). This is different from a control, which aims to ensure that no flaws exist during the process. A control might involve only certain personnel being able to order goods.